1952-67: Fiscal activism and macroeconomic 'fine-tuning'*

Daniele Girardi†

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†Senior Lecturer, Department of Political Economy, King's College London.

Table 1: Prime Ministers and Chancellors of the Exchequer, Oct 1951- Nov 1967

Gen. election	Prime Minister	Party	Chancellor of the Exchequer	Period
Oct 1951	Winston Churchill	Con.	R.A. 'Rab' Butler	Oct 1951 – Apr 1955
	Anthony Eden	Con.	R.A. Butler	Apr 1955 – May 1955
May 1955	Anthony Eden	Con.	R.A. Butler	May 1955 – Dec 1955
			Harold Macmillan	Dec 1955 – Jan 1957
	Harold Macmillan	Con.	Peter Thorneycroft	Jan 1957 – Jan 1958
			Derick Heathcoat-Amory	Jan 1958 – Oct 1959
Oct 1959	Harold Macmillan	Con.	Derick Heathcoat-Amory	Oct 1959 – Jul 1960
			Selwyn Lloyd	Jul 1960 – Jul 1962
			Reginald Maudling	Jul 1962 – Oct 1963
	Alec Douglas-Home	Con.	Reginald Maudling	Oct 1963 – Oct 1964
Oct 1964	Harold Wilson	Lab.	James Callaghan	Oct 1964 – Mar 1966
Mar 1966	Harold Wilson	Lab.	James Callaghan	Mar 1966 – Nov 1967
			Roy Jenkins	Nov 1967 – Jun 1970

Note: Thin horizontal rules mark general elections. Con.: Conservative; Lab.: Labour.

1 Introduction

This section of the course covers the sixteen years that go from the end of the Korean-war boom in 1952 to the devaluation of sterling in November 1967. These were years of uninterrupted peacetime prosperity, full employment and rising living standards, and they are often remembered as the heyday of Keynesian demand management, or 'fine-tuning': governments frequently and actively adjusted taxes (and, to a lesser extent, interest rates) with the aim of keeping the level of economic activity close to full employment without triggering inflation or a balance of payments crisis. They were also years of recurrent sterling crises, of a growing sense that Britain was growing slower than its European neighbours, and of experiments with 'interventionist' policy tools, from incomes policies to industrial policy and economic planning.

Politically, the period was dominated by the Conservatives, who returned to power in October 1951 and remained in office for thirteen years, under four prime ministers and six Chancellors of the Exchequer. In October 1964 Labour returned to power under Harold Wilson, first with a tiny majority of four seats and then, after a second general election in March 1966, with a comfortable majority of almost 100. Table 1 lists the prime ministers and Chancellors of the period. Fiscal policy was run by the Chancellor, often with frequent interference by the prime minister (especially when the latter was Harold MacMillan), and it is useful to refer to this Table when following the course of events in Section 4.

Table 2: Main macroeconomic indicators, 1952-1967

Indicator	Value (%)
Growth	
Cumulative growth of real GDP, 1952-67	65.0
Average annual real GDP growth	3.2
Cumulative growth of real GDP per capita, 1952-67	51.0
Cumulative growth of labour productivity, 1952-67	79.3
Average annual labour productivity growth	3.7
Unemployment	
Average unemployment rate	2.3
Maximum yearly unemployment rate (1967)	3.4
Inflation	
Average yearly inflation rate (CPI)	3.6
Maximum yearly inflation rate (CPI, 1952)	10.7

Note: Cumulative growth rates are computed from 1951 to 1967, so that they include the growth that took place during 1952. Averages and maxima refer to the years 1952-67. Labour productivity is real GDP per hour worked. *Source:* Thomas and Dimsdale (2017).

2 The macroeconomic context

By almost any standard, economic performance in these years was remarkably good. As summarised in Table 2, over the years 1952-67 real GDP grew by a cumulative 65 percent, or 3.2 percent per year on average, and GDP per person by 51 percent. Labour productivity (output per hour worked) grew even faster, by 79 percent overall and 3.7 percent per year. The unemployment rate averaged 2.3 percent, and never exceeded 3.4 percent in any single year. Inflation averaged 3.6 percent per year: a figure that includes the tail of the Korean-war inflation in 1952, and that falls to just above 3 percent if we start counting from 1953.

By historical standards, these were exceptional macroeconomic results. The growth rate of both GDP and output per worker in 1951-64 was higher than in any earlier period since the middle of the nineteenth century, and more than double that of the decades before the First World War (Woodward, 2004, p.55). Together with low unemployment and moderate inflation, this is why the years between 1950 and the oil crisis of 1973 have come to be known as the 'golden age' of post-war capitalism. Living standards rose visibly: real consumer spending rose by 45 percent between 1952 and 1964, and the number of private cars on the road doubled between 1952 and 1959, from 2.5 to 5 million (Clarke, 2004, p.254).

The golden age, however, was an international phenomenon, and when compared with other industrialised countries, Britain's growth performance was less impressive. Between 1950 and 1973, GDP per head grew by 2.5 percent a year in Britain, against 3.9 percent in France, 5.6

percent in Italy, 5.9 percent in West Germany and 8 percent in Japan (Woodward, 2004, p.52). Britain's share of world trade in manufactures fell from around 16 percent in the mid-1950s to under 13 percent in 1960, and below 10 percent by 1966 (Clarke, 2004, p.280). As we will see, this 'growth gap' with continental Europe became a source of increasing concern for policy makers from the late 1950s, and motivated many of the policy experiments of the 1960s. We will come back to its causes in Section 5.

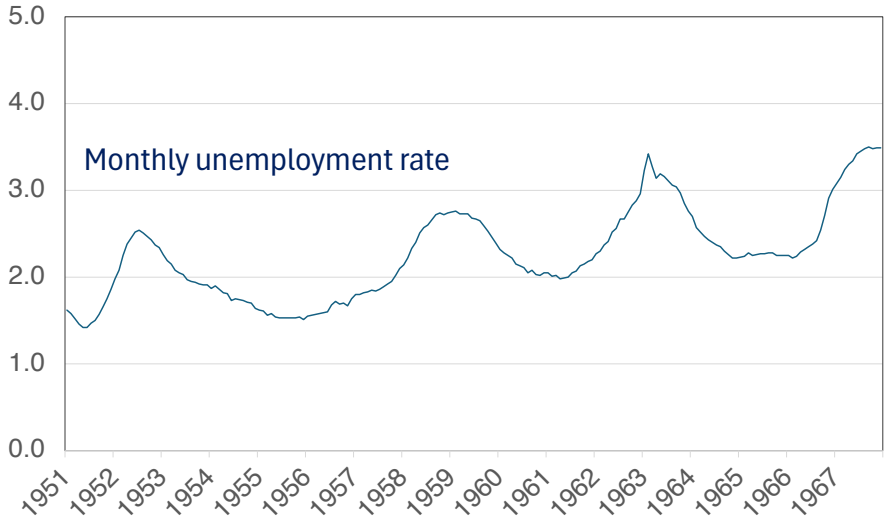
2.1 Very low (but slowly rising) unemployment

Unemployment remained very low throughout the period, as shown in Figure 1. To appreciate what this meant, it is important to remember the double-digit unemployment rates of the early 1930s: for those with memories of the inter-war slump, full employment was an extraordinary achievement of the post-war settlement.[1] Economic downturns in this period were relatively mild: they were slowdowns in growth rather than falls in output, and real GDP increased in every year between 1952 and 1967 (Thomas and Dimsdale, 2017). Moreover, firms facing a tight labour market often preferred to hold on to their workers during a slowdown rather than lay them off and struggle to rehire them in the next upswing, which further mitigated unemployment fluctuations (Woodward, 2004, pp.53-54).

In retrospect, however, unemployment was on a gently rising trend. As can be seen in Figure 1, each peak in unemployment (1952, 1958-59, 1963 and 1967) was higher than the previous one, and so was each trough. This underlying trend was not much noticed at the time, although contemporary observers and policy makers were very sensitive to even small increases in unemployment: in the early 1960s, an unemployment rate of 3 percent or more was considered unacceptably high, and was enough to push governments towards strongly expansionary policies (especially if a general election was in sight).

[1]The unemployment figures quoted by contemporaries and in historical accounts such as Cairncross (1992) and Woodward (2004) are somewhat lower than those in Figure 1 and Table 2. This is because they refer to administrative unemployment, that is, the number of workers registered as unemployed at employment offices, while the Bank of England series used here has been adjusted to be consistent with the modern Labour Force Survey measure of unemployment, which counts all those without a job who are looking for work, whether or not they are registered. According to the administrative series (also available in Thomas and Dimsdale (2017)), unemployment averaged 1.8 percent in 1952-67, instead of 2.3 percent, with a minimum of 1.2 percent in 1955 and a maximum of 2.6 percent in 1963 (a figure also reported by Woodward, 2004, p.53); monthly registered unemployment was as low as 1 percent in July 1955 (Cairncross, 1992, p.106). The timing of the ups and downs, however, is the same in both measures.

Figure 1: UK monthly unemployment rate, 1951-1967



Source: Thomas and Dimsdale (2017).

2.2 Four business cycles

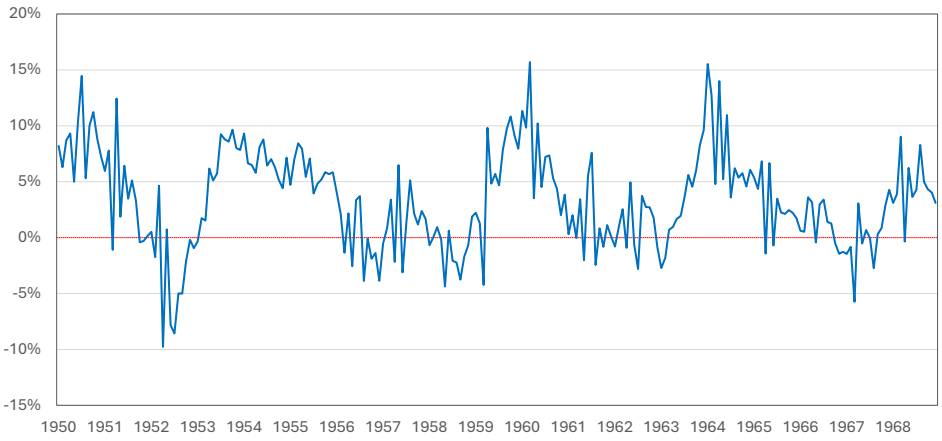
Economic activity did fluctuate, however, following a recognisable cycle. Figure 2, which displays the year-on-year growth rate of industrial production at the monthly frequency, shows four cycles, with peaks in 1950-51 (the Korean-war boom), 1953-55, 1959-60 and 1963-64, each followed by a slowdown (in 1952, 1956-58, 1961-62 and 1965-67).[2] As we will see, these fluctuations were closely related to the alternation of expansionary and restrictive policies, the 'stop-go' cycle discussed below. By international standards, however, these fluctuations were small: Woodward (2004, pp.81-82) shows that, contrary to a common perception at the time, Britain was one of the most stable industrialised economies in the period, while some of the fastest-growing ones (like West Germany and Japan) experienced somewhat more pronounced fluctuations.

2.3 Moderate inflation

After the burst of inflation caused by the Korean-war international commodity boom (around 9 percent in 1951 and over 10 percent in 1952), inflation settled at moderate levels, as shown in Figure 3. It fluctuated with economic activity, from less than 1 percent in 1959-60 to around 5 percent in 1955-56, but was generally between 2 and 4 percent.

[2] 'Year-on-year growth' means that, in each month, the growth rate over the corresponding month in the previous year is considered. For example, in Figure 2, the datapoint for January 1952 shows the percentage change over January 1951.

Figure 2: UK industrial production, yearly growth rate (monthly data), 1950-1968



Source: Thomas and Dimsdale (2017).

We can identify three key reasons why inflation remained low (Woodward, 2004, pp.54-55). First, wage pressures were relatively muted, notwithstanding the very tight labour market. Second, after the end of the Korean war the prices of imported raw materials and food barely increased (on average by only 0.5 percent a year after 1953), and the terms of trade (the price of British exports relative to that of British imports) improved by 14 percent between 1953 and 1964. Third, Britain was part of the Bretton Woods system of fixed exchange rates, which forced British producers to keep the prices of tradable goods broadly in line with those of their international competitors, and in particular of the United States, whose inflation was low.

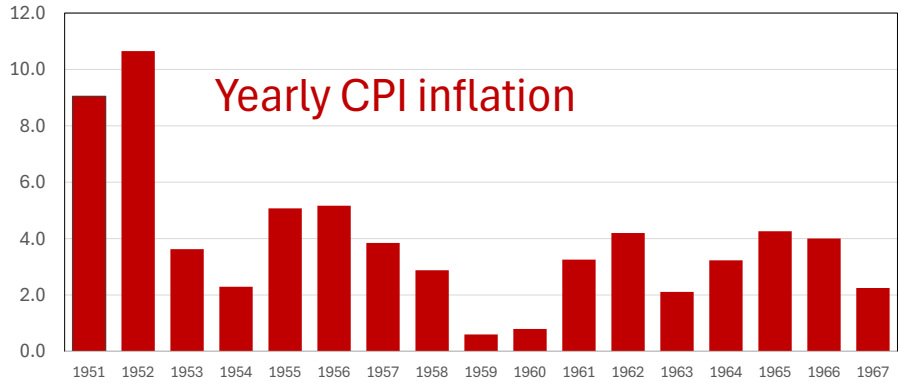
Although moderate after the end of the Korean-war boom, inflation was a matter of concern for governments throughout the period, and in some instances (most notably under Chancellor Thorneycroft in 1957) it might have been the main motivation for restrictive policies. Inflation was not, however, the main constraint on economic expansion between 1953 and 1967. That role was played by the balance of payments.

2.4 The balance of payments constraint

During this period, the main constraint on economic expansion was the balance of payments.

The UK usually ran a trade deficit, which widened sharply whenever the economy accelerated (Figure 4): imports of raw materials, of goods to build up firms' stocks, and of consumer goods grew much faster than exports, and the largest deficits (in 1955, 1960, 1964 and 1967) coincided with the peaks of the business cycle. Net income from abroad (interest, profits and dividends

Figure 3: UK yearly CPI inflation rate, 1951-1967



Source: Thomas and Dimsdale (2017).

on foreign assets) was large enough to keep the current account in surplus in eleven years out of sixteen, but the surplus was small, partly because heavy government spending abroad, most notably on military bases from Germany to Aden and Singapore, absorbed most of what Britain earned from services such as finance and insurance (Tait, 1962, p.300).[3]

At the same time, there were frequent and sometimes large capital outflows, due both to long-term capital flows and short-term speculation.

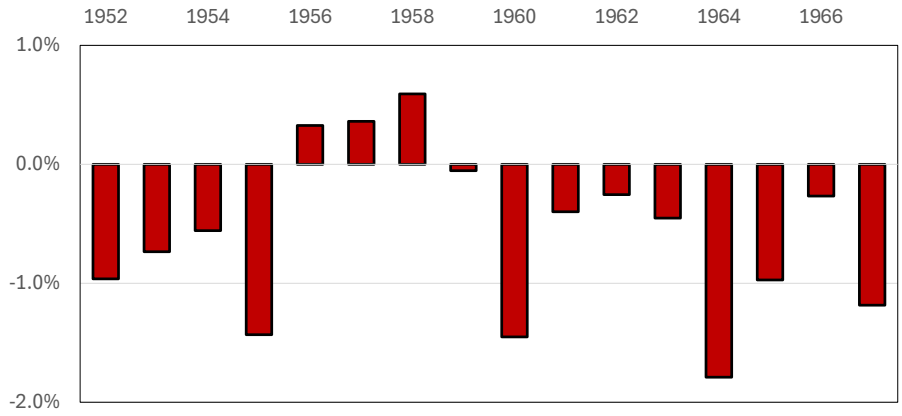
When the economy accelerated, the overall balance of payments therefore easily fell into deficit, and to defend the fixed exchange rate of $2.80 per pound (set after the 1949 devaluation) the Bank of England had to sell gold and dollars from its reserves and buy sterling.[4] Britain's reserves, however, were small: they never exceeded $4 billion in the 1950s, and were mostly between $2 and $3 billion, enough to pay for only about three months of imports, and much smaller than the 'sterling balances' held abroad by foreign governments, central banks and investors (Cairncross, 1992, p.118). A limited withdrawal of these balances could make serious inroads into the reserves, which in turn would alarm the other holders and potentially trigger a run on the pound.

Speculating against sterling, moreover, was an almost risk-free bet (Naef, 2022, p.145). Under a fixed exchange rate, a currency under pressure could only be devalued or stay where it was: if the parity held, those who had sold sterling lost little; if the pound was devalued,

[3]The current account is the sum of the trade balance and the income balance (see the Week 3 lecture notes on 'The UK as an open economy'). According to Thomas and Dimsdale (2017), it was in deficit in 1955, 1960, 1964, 1965 and 1967, consistent with Cairncross (1992, p.91) and Woodward (2004, p.84).

[4]Strictly speaking, the balance of payments always balances as a matter of accounting: here, as in common usage, a 'deficit' means that the Bank of England had to run down its reserves to finance the current account and the other financial flows.

Figure 4: UK trade balance (% of GDP), 1952-1967



Source: Thomas and Dimsdale (2017).

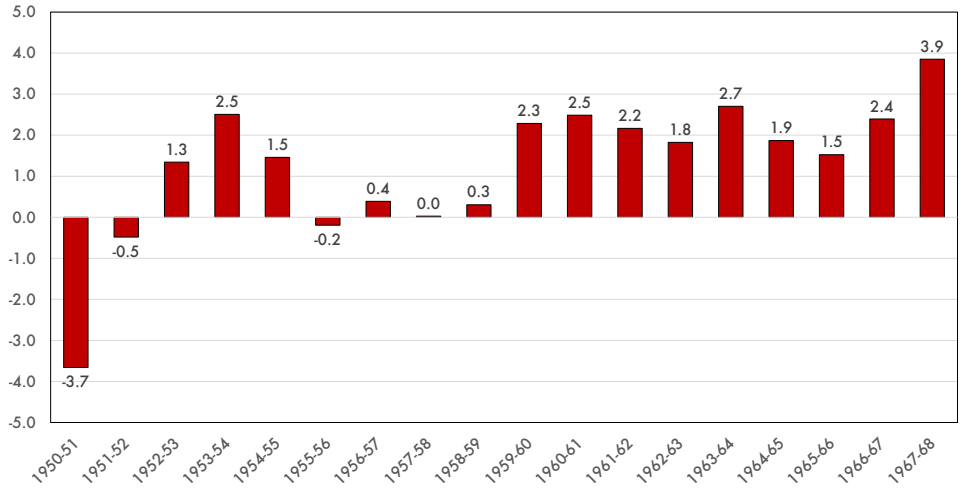
they avoided a loss equal to the size of the devaluation. Any news that made a devaluation seem more likely, such as a bad set of trade figures, therefore led holders of sterling to sell it: not only professional speculators, but also foreign holders of sterling balances, and importers and exporters, who could speed up their payments abroad or delay converting their foreign earnings into sterling. And the more the reserves fell, the more likely a devaluation seemed, which encouraged further selling: a deficit, or even the fear of a future deficit, could quickly turn into a currency crisis.

Since devaluation or letting the pound float were ruled out, governments had to respond with restrictive fiscal and monetary policies. Broadly speaking, two main tools were used. The first was to raise Bank rate, which made it more attractive to hold sterling and drew short-term funds to London, although its effect was at most temporary. The second was to reduce the pressure of demand in the domestic economy, through tax increases, spending cuts and credit restrictions, so as to reduce imports and free resources for exports: in effect, a deliberate sacrifice of output and employment to protect the currency.

This was the central dilemma of macroeconomic policy in this period: often, the economy could have sustained a higher level of activity without serious inflationary pressures, but the balance of payments could not.

Public finances Figure 5 displays the public sector deficit, measured as public sector net borrowing (PSNB) as a share of GDP. After the large surplus of 1950-51 and a roughly balanced budget in 1951-52, the public finances were in deficit in all but two years. In the 1950s the deficits

Figure 5: UK public sector deficit (% of GDP), 1950-1968



The measure of the deficit used is public sector net borrowing (PSNB), measured as a share of GDP. A positive value implies a budget deficit; a negative value implies a budget surplus. Data are for fiscal years (April to March). Source: Office for Budget Responsibility (2026).

were mostly small, with the exception of the years 1953-55; from 1959-60 onwards they were persistently above 2 percent of GDP, and they reached 3.9 percent in 1967-68.

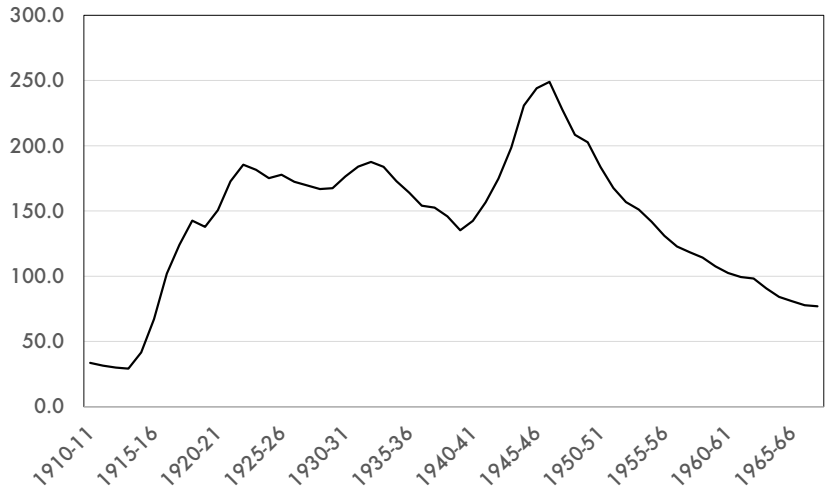
The three main increases in the deficit correspond to three expansionary phases of Conservative fiscal policy, which we will examine in detail in Section 4: Butler's expansion of 1953-54, Heathcoat-Amory's expansion of 1958-59, and Maudling's 'dash for growth' of 1963. The worsening in 1966-68 was due partly to the weakening of the economy (which reduced tax revenues) and partly to a rapid increase in public spending, especially public investment, in 1967 (Cairncross, 1992, p.162).[5]

The fall in the debt-to-GDP ratio Notwithstanding these deficits, the burden of the public debt inherited from the two world wars fell dramatically. As shown in Figure 6, net public debt peaked at 249 percent of GDP in 1946-47, at the end of the Second World War; by 1951-52 it had fallen to 168 percent, and by 1967-68 it was down to 77 percent.

To understand how the debt-to-GDP ratio could fall steeply, when the government ran a

[5]Note that the PSNB is not the same as the 'budget' balance discussed by Chancellors at the time. The Chancellor's budget distinguished between spending 'above the line', mainly the current spending of central government, which was supposed to be covered by taxes, and payments 'below the line', mostly loans to the nationalised industries and local authorities for their investment programmes, which could legitimately be financed by borrowing. Governments normally planned a surplus above the line (hence the remark by Cairncross (1992, p.95) that the Conservatives of the 1950s were "never prepared to budget for a deficit"), but this was usually more than offset by the payments below the line, so that the public sector as a whole, whose borrowing is measured by the PSNB, was in deficit.

Figure 6: UK net public debt (% of GDP), 1910-1967



Data are for fiscal years. Source: Office for Budget Responsibility (2026).

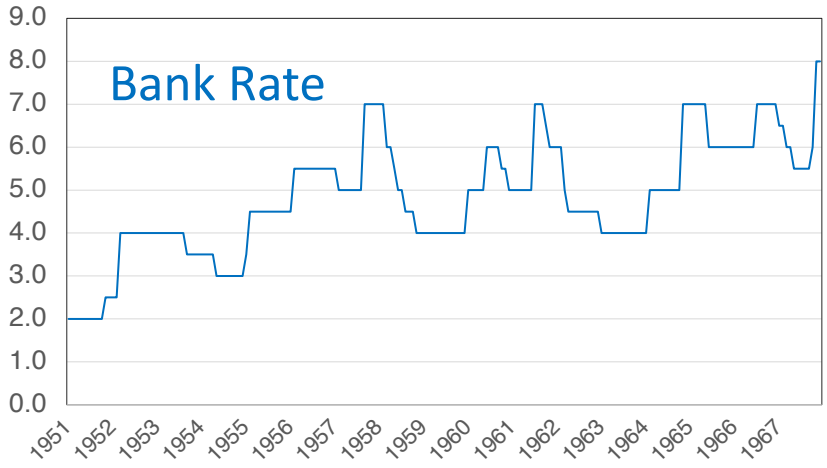
deficit in fifteen years out of seventeen, you have to look no further than the Week 1 lecture notes. There, we have learned that if the nominal growth rate of the economy is higher than the nominal interest rate ($g + \pi > i$, using the notation introduced in Week 1), the debt-to-GDP ratio can fall even if the government is running an overall deficit. Sustained economic growth (plus moderate inflation) was the main factor in reducing the burden of the war debt.

3 Overview of policy

3.1 The reactivation of monetary policy

The most important innovation in macroeconomic policy, compared with 1945-51, was the reactivation of monetary policy. As we saw in the previous lecture notes, under the Labour governments the Bank rate had been kept fixed at 2 percent, and interest rates were not used as a tool of economic management. One of the first acts of the new Conservative government, in November 1951, was to raise the Bank rate, which had been essentially unchanged since the start of the war in 1939. As shown in Figure 7, from then on short-term interest rates became both higher and much more variable: the Bank rate moved between 2 and 8 percent, with seven percent coming to be regarded as the 'crisis level'. Increases in the Bank rate had two aims: cooling down the economy by making credit more expensive, and, even more importantly, protecting the balance of payments by attracting short-term funds to London. Reductions, on the other hand, tended to coincide with the phases of fiscal expansion: Butler's in 1953-54,

Figure 7: Bank of England Bank rate, 1951-1967



Source: Thomas and Dimsdale (2017).

Heathcoat-Amory's in 1958 and Maudling's in 1963.

Apart from the Bank rate, the authorities used three other monetary policy instruments (Woodward, 2004, pp.63-65; Kynaston, 2017, chs. 13–14; Cairncross, 1992, p.98). The first were requests by the Bank of England to the commercial banks to restrict (or expand) their lending, sometimes accompanied by explicit ceilings on bank advances. The second were restrictions on 'hire-purchase' (consumer credit for the purchase of cars, furniture and other durable goods) By forcing more restrictive conditions, for example fixing a minimum down payment or a maximum repayment period, the government limited the growth of consumer credit. First introduced in 1952, hire-purchase restrictions were a powerful financial weapon in the hands of the authorities. The third instrument, from 1960, were 'special deposits': compulsory deposits that the commercial banks had to place with the Bank of England, which reduced their liquid assets and therefore their ability to lend.

3.2 Continuities in policy: 'Butskellism'

During the 1951 election campaign, Labour had warned that a Conservative government would dismantle the welfare state, reverse the nationalisations and bring back mass unemployment. None of this happened. Commentators were soon struck by the continuity between the policies of the Attlee and Churchill governments, and in 1954 *The Economist* coined the term 'Butskellism', from the names of the Conservative Chancellor Butler and of his Labour predecessor Gaitskell.

The welfare state was maintained and even expanded, and spending on the National Health

Service grew steadily. The nationalised industries remained in public hands, with the exception of iron and steel (and, partially, road haulage), which were returned to the private sector. The commitment to full employment was maintained: the 1950 Conservative manifesto had declared full employment to be "the first aim of a Conservative Government", and in 1953 Butler would become the first post-war Chancellor to expand the economy to reduce unemployment (Woodward, 2004, p.63). Moreover, like their Labour predecessors, the Conservatives made heavy use of the budget to manage the economy, especially through changes in taxation. The Conservatives were also careful to avoid confrontation with the trade unions, which by the mid-1950s had almost 10 million members.

There were, to be sure, also important differences of emphasis, in addition to the genuine shift in policy represented by the reactivation of monetary policy. Perhaps most important, the Conservatives valued market freedom and viewed liberalisation favourably (although they did not indiscriminately unleash either, in this period), while the Labour party was more explicitly supportive of direct controls and economic planning (although it never developed a clear enough idea of what the latter means).

3.3 Demand management and 'fine-tuning'

By the end of the 1950s, the management of the economy was seen as a routine operation, run by the Treasury. The Economic Section of the Treasury prepared macroeconomic forecasts three times a year. On the basis of these forecasts, the Budget Committee, a group of senior Treasury officials, formed a judgement on whether the pressure of demand in the economy should be increased or reduced, and by how much, and translated this judgement into proposals for tax changes to put to the Chancellor (Cairncross, 1992, p.95). The tax changes were then announced in the budget, normally presented in April, or, when things seemed to be going wrong, in emergency measures during the year. From 1961, a new instrument, the 'regulator', even allowed the Chancellor to adjust indirect taxes between budgets (Section 4). Public spending, by contrast, was rarely used to actively manage the economy: after the Plowden Report of 1961 warned that "chopping and changing in expenditure policy" was inefficient and could itself destabilise the economy, it was planned over five years (Woodward, 2004, pp.63-64). The main exception were emergency packages to counter balance of payments crises, which sometimes included cuts in public investment.

Stop-and-go In practice, a recurrent pattern of macroeconomic policy emerged, which contemporaries came to call 'stop-and-go'. Governments would push the fiscal accelerator (tax cuts, lower interest rates, easier credit) to reduce unemployment or boost growth; after a while, the expansion would run into either rising inflation or (more often) a growing trade deficit and a loss of foreign exchange reserves, and governments would be forced to pull the brakes (tax increases, spending cuts, higher interest rates and credit restrictions), until the problems had disappeared and the cycle could start again. Woodward (2004, pp.65-66) identifies six phases in the Conservative years alone:

- *Stop*, 1951-52: response to the Korean-war balance of payments crisis;
- *Go*, 1953-55: Butler's expansion, culminating in the pre-election budget of 1955;
- *Stop*, 1955-58: the reversal of Butler's expansion, the Suez crisis and Thorneycroft's deflation;
- *Go*, 1958-60: Heathcoat-Amory's expansion, culminating in the pre-election budget of 1959;
- *Stop*, 1960-61: culminating in Selwyn Lloyd's emergency measures of July 1961;
- *Go*, 1962-64: Maudling's 'dash for growth'.

The Labour government elected in 1964, which had campaigned against stop-go, would itself go through a long and painful 'stop' in 1965-66.

Challenges of fine-tuning Demand management was far from precise. One reason was the quality of the information available. Official statistics arrived with long delays and were frequently revised, and forecasting techniques were still rudimentary. In presenting his 1956 budget, Macmillan complained that "we are always, as it were, looking up a train in last year's Bradshaw" (the Bradshaw being an iconic national railway timetable), and the government's chief economic adviser, Sir Robert Hall, used to say that the greatest problem for a forecaster was to predict where the economy was now (ibid., p.61). The number of professional economists in government was tiny: sixteen in 1952 and just over twenty in 1964 (ibid., p.60). And, unlike in the late 1940s, the forecasts were not published, for fear that a gloomy forecast of the balance of payments might trigger a run on the pound. Macmillan himself described the difficulty of the exercise in his memoirs:

> *"As I knew from my year at the Treasury and was to learn for the rest of my active life in politics, to maintain the British economy at the right level, between inflation and deflation, balancing correctly between too much and too little growth, was a delicate exercise. All the clever young economists and journalists could not resolve it. There were so many imponderables, and so many uncertainties. It was not a subject to be solved by mathematical formulae, or exact calculation. It was like bicycling along a tightrope."*[6]

A second reason might have been politics. Ill-timed fiscal expansions displayed a suspicious tendency to occur before general elections, most notably in 1955 and 1959. Woodward (2004, pp.77-79) concludes that "[t]he lagged correlation between expansionary policy and elections (...) is probably more than coincidental", but also that electoral considerations were probably only a partial influence, and that non-electoral considerations might plausibly have contributed to each of the allegedly pre-electoral expansions.

The debate on the impact of demand management Whether, on balance, UK demand management was stabilizing or destabilizing in this period was heavily debated at the time and afterwards. A conclusive answer is hard to reach.[7] Many contemporary observers thought that demand management had been badly implemented, and made things worse. For example, Dow (1964) concluded that it had been "positively destabilising", because expansions came too late, when the economy no longer needed them, and were too strong, resulting in subsequent inflation and balance of payments difficulties. A related critique, associated with Frank Paish and shared by Dell (1996), held that governments ran the economy with too small a margin of spare capacity: this made a 'stop' inevitable at the top of each boom, and eroded the competitiveness of British industry, since wage inflation rose faster in the 'go' phases than it fell in the 'stops'. Unemployment, according to these views, was kept below the level compatible with stable inflation and a sustainable balance of payments.

Other studies, however, reached more favourable conclusions (for example (Bristow, 1968, p.307; Matthews, 1969; Boltho, 1981; Bispham and Boltho, 1982, p.320).). A main piece of evidence pointing in this direction is the following: the fluctuations of the British economy were small by international standards. It was in fact one of the most stable of the industrialised economies, with no recession in any year of the period (Woodward, 2004, p.81; Cairncross, 1992,

[6] Macmillan (1971), quoted in Woodward (2004, p.51).
[7] A comprehensive summary of the debate and of the evidence is in Woodward (ibid., pp.72-79).

p.143; Thomas and Dimsdale, 2017). This seems hard to square with a strong destabilising effect of macroeconomic management. Moreover, the ultimate root cause of the stop-go pattern was arguably the fixed exchange rate regime, which forced Britain to defend the pre-existing parity even when it was not longer in line with the fundamentals.

Whether stabilising or not, most historians agree that the results of demand management were seen by contemporaries as disappointing (Woodward, 2004, p.75). But this disappointment partly reflects too high hopes placed in it in the aftermath of WWII, when many thought that the newly developed Keynesian theory had provided the permanent solution to economic boom and bust, and to unemployment.

An important question, somewhat neglected in the debate, is whether demand management contributed to full employment. Unemployment remained very low throughout the period (Figure 1), but how much of the credit belongs to macroeconomic policy is not easy to establish. Matthews (1968) argued that the high level of demand, and therefore the achievement of full employment, owed more to buoyant investment and exports than to the government budget. Even so, it was government that decided how far to let booms run before applying the brakes, and how quickly to reflate when unemployment rose, and therefore what margin of spare capacity the economy operated with. Indeed, the Paish and Dell critiques above implicitly assume that policy kept unemployment low (too low, in their view). For all its mistakes, demand management did probably help keep the UK economy at full employment. Although this might well have contributed to inflationary pressure and strains in the balance of payments, it did mean a better life for hundreds of thousands of workers who would have otherwise suffered the scourge of unemployment.

The attempts to go beyond stop-and-go Growing dissatisfaction with stop-go, and with Britain's slower growth relative to other European countries, pushed governments of both parties to experiment in the 1960s with two new tools, incomes policy and economic planning, discussed in Sections 6 and 7.

4 The course of events

4.1 1951-55: from austerity to expansion

The Korean-war crisis The new Chancellor, R.A. 'Rab' Butler, a leading reformer in the Conservative party and the architect of the 1944 Education Act, took office in the middle of a severe balance of payments crisis inherited from the Korean war. Rearmament around the world had driven up the prices of imported raw materials, and the current account swung from a surplus of 2.6 percent of GDP in 1950 to a deficit of 2.3 percent of GDP in 1951 (Thomas and Dimsdale, 2017; Cairncross, 1992, p.101). In January 1952 Butler warned the Cabinet that the reserves would soon fall below the level they had reached on the eve of the 1949 devaluation (Morgan, 1990, pp.119-120).

The response combined the old tools of the Attlee years with new ones. In continuity with the previous Labour administrations, the Churchill government made extensive use of import controls in 1951-52. Using the quotas and import licences inherited from the wartime controls, the government imposed three successive rounds of import restrictions (in November 1951, January 1952 and March 1952); according to Cairncross (1992, pp.103-104), these accounted for most of the fall in imports in 1952. Moreover, a series of measures were implemented to cool down domestic demand: hire-purchase restrictions were introduced for the first time; the rearmament programme was scaled back and stretched over a longer period (exactly as Harold Wilson and Nye Bevan predicted in objecting to it); and the Bank rate was raised, from 2 to 2.5 percent in November 1951 and to 4 percent in March 1952 (the 'reactivation ' of monetary policy mentioned above).

Notwithstanding this context, the March 1952 budget was broadly neutral: a large cut in food subsidies was compensated by reductions in income tax, while taxes on profits were raised with the introduction of an Excess Profits Levy (Figure 8). By the spring the crisis was over, although, according to Cairncross (ibid., p.123), this owed less to government measures than to the mild recession of 1952, which cut the demand for imports, and to the fall in import prices.

The ROBOT plan At the height of the crisis, in February 1952, senior Treasury and Bank of England officials put forward a far more radical plan, code-named ROBOT from the names of its authors (Leslie Rowan, George Bolton and Otto Clarke). The pound would be made convertible for foreign holders and at the same time allowed to float, and most of the sterling

balances would be blocked.[8] The strain of any balance of payments deficit would then be taken by the exchange rate rather than by the reserves.

Butler was persuaded, and Churchill himself seems to have made favourable noises about it, but the plan met strong opposition from Churchill's personal adviser Lord Cherwell, from the government's chief economic advisers Robert Hall and Edwin Plowden, and from the Foreign Secretary Anthony Eden (Morgan, 1990, pp.120-121; Dell, 1996, pp.166-170; Kynaston, 2017, ch. 13).

A floating pound would have meant, at least initially, a sharp fall in the exchange rate, higher import and food prices, and the need to defend sterling with much higher interest rates and deflation: in Cherwell's words, "an 8 per cent Bank Rate, 2 million unemployed and a 3/- loaf" (Kynaston, 2017, ch. 13). In the medium-term, the effects of exchange rate adjustment on the competitiveness of British exports would have possibly solved the balance of payments problems and ended the series of currency crises that the UK was suffering. Importantly, contemporaries did not see the proposal as a way of freeing fiscal policy from the external constraint to allow more expansionary policies; to the contrary, its critics, and many of its supporters in the Bank of England, saw it as a way to subject government action to the discipline of the market, which would require more restrictive fiscal and monetary policies (Clarke, 2004, pp.244-245; Kynaston, 2017, ch. 13). The risk of sudden and steep market-driven currency depreciation would keep macroeconomic policy in check.

Butler, however, lost that battle in the Cabinet. The plan was rejected at the end of February 1952, and again when it was revived in June. As Morgan (1990, p.122) puts it, faced with the prospect of being branded again as the party of dear food and unemployment, the Conservatives chose management and control over the market. Convertibility was instead pursued gradually (achieved rate only at the end of 1958, and only for foreigners, not UK residents) and the fixed exchange rate maintained.

The turn to expansion, 1953-54 By early 1953 the balance of payments looked healthy again, while unemployment had risen amid the 1952 slowdown and the recovery looked weak

[8]Here 'sterling balances' refers again to holding of foreign exchange reserves in British pounds by other countries—mostly the members to the so-called sterling area. Blocking meant that the balances would be frozen, or compulsorily converted into long-term government bonds, so that only newly earned sterling (and the small part of the balances left unblocked) could be converted into dollars (Cairncross, 1992, pp.121-122). Since the sterling balances were several times larger than Britain's reserves, this was meant to prevent their holders from flooding the market with sterling as soon as it became convertible, which might have caused a collapse of the pound.

(Woodward, 2004, p.65). The April 1953 budget therefore turned decisively towards expansion. The standard rate of income tax was cut by sixpence, from 9s 6d (47.5 percent) to 9s (45 percent) in the pound,[9] purchase tax was reduced, and the Excess Profits Levy was abolished from the start of 1954.

According to the estimates of Dow (1964), the tax cuts amounted to around 2.7 percent of GDP, most of which came from the Excess Profits Levy abolition (Figure 8).[10] Monetary policy was also relaxed, with the Bank rate cut to 3.5 percent in September 1953 and to 3 percent in May 1954 (Figure 7). At the same time, the housing programme reached its target: under Harold Macmillan as Minister of Housing, over 300,000 new houses were built in 1953, four-fifths of them by local authorities (Morgan, 1990, pp.117-118; Clarke, 2004, p.241).

The subsequent 1954 budget left taxation essentially unchanged but, with industrial investment lagging and a recession under way in the United States, it introduced a new 'investment allowance', which allowed firms to deduct from their taxable profits more than the original cost of their new equipment (Cairncross, 1992, p.105). The economy was now growing strongly, helped by a large improvement in the terms of trade, and tax revenues turned out to be much higher than the Treasury had forecast (ibid., p.105): the public sector deficit fell from 2.5 percent of GDP in 1953-54 to 1.5 percent in 1954-55 (Figure 5). Hire purchase restrictions were withdrawn in July 1954, wartime food rationing finally ended the same year, and *The Economist* could ask whether Britain had seen the end of its economic crises (Morgan, 1990, p.119).

1955: pre-election tax cuts and reversal By early 1955 the economy was clearly overheating. Unemployment was at its lowest level of the period, wage increases were accelerating, and the trade deficit was widening (Figures 1 and 4). The authorities started to apply the brakes: hire purchase restrictions were reintroduced in February, and the Bank rate was raised in two steps to 4.5 percent.

But in April, a month before the general election, Butler presented an *expansionary* budget

[9]Until decimalisation in 1971, the pound was divided into 20 shillings (s), and each shilling into 12 pence (d). Income tax rates were expressed as the amount of tax due on each pound of taxable income: a rate of 9s 6d in the pound, for example, meant 9.5 shillings out of 20, or 47.5 percent (Clarke, 2004, p.244). A cut of sixpence in the standard rate therefore reduced it by 2.5 percentage points. Prices were written in the same way: the '3/- loaf' mentioned by Cherwell in the previous paragraph was a loaf of bread costing 3 shillings.

[10]This is a much larger figure than the one given by Morgan (1990, pp.118-119), according to whom Butler "decided to give away £170 m.", around 1 percent of GDP. Cairncross (1992, p.95) also notes that, apart from 1959, the tax changes proposed to the Chancellor in the 1950s never exceeded £150 million. The difference is most likely due to the abolition of the Excess Profits Levy, which accounts for the bulk of the tax cuts in Dow's estimates, but which is not included in Morgan's figure, probably on the grounds that it was always supposed to be temporary.

that cut the standard rate of income tax by a further sixpence, to 8s 6d (42.5 percent), and raised personal allowances. The tax cuts amounted to around 1 percent of GDP.[11] To reconcile tax cuts with an overheating economy, Butler professed to rely on "the resources of a flexible monetary policy" (Cairncross, 1992, p.96).

Whether the 1955 budget was a deliberate pre-election bribe is still debated: the timing certainly suggests it, and both Churchill and Eden had pressed Butler to cut taxes (Morgan, 1990, p.122; Woodward, 2004, pp.78 and 85); but some contemporary commentators thought that Butler had actually resisted the temptation of a 'political' budget (Peacock, 1955, p.350). What seems clear is that Butler overestimated the ability of monetary policy alone to stave off inflationary pressures and trade imbalances, even while taxes were being cut.

Either way, the Conservatives won the May 1955 election, now under the leadership of Anthony Eden, with an increased majority.

The flexible monetary policy, however, proved insufficient to cool down an overheating economy and Butler was forced to reverse course soon after the election. With inflation rising and pressure on sterling mounting, Butler had to present a second, emergency budget in October 1955, which raised purchase tax and taxes on profits and cut public spending, reversing a large part of the April tax cuts.[12]

Cutting taxes just before the election just to be forced to raise them again soon after it was not a good look, and cost Butler his job and his reputation as Chancellor. According to Morgan (1990, p.123), he was "tarred with the reputation of having imperilled the finances in his budget for purely electioneering purposes". In December 1955 Eden moved him out of the Treasury, replacing him with Harold Macmillan.

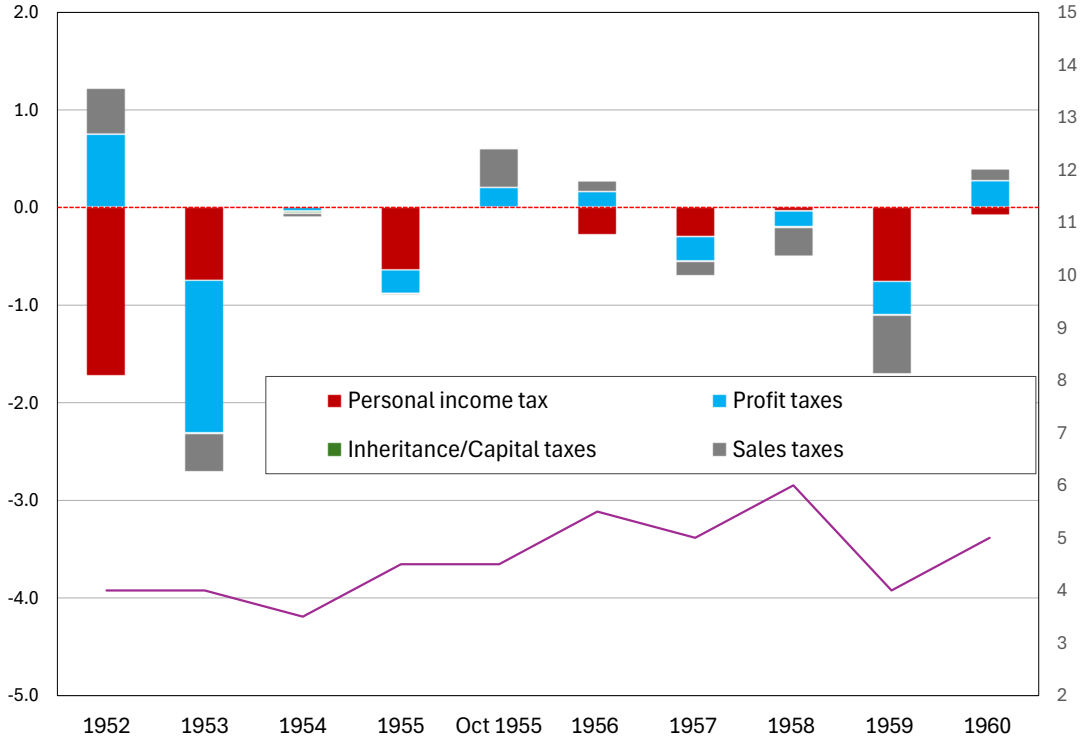
4.2 1955-1960: Macmillan and the economy

Macmillan at the Treasury and the Suez crisis Macmillan inherited an overheating economy and a weak pound. In early 1956 he raised the Bank rate to 5.5 percent, tightened hire purchase restrictions, withdrew the investment allowance and cut public spending and

[11] This is the estimate of Dow (1964), displayed in Figure 8. According to Peacock (1955, p.349) and Morgan (1990, p.122), the cost of the tax cuts was around £130-134 million, or around 0.7 percent of GDP. The difference seems to be due to the fact that Dow's estimate also includes a reduction in taxes on profits, in addition to the cuts in income tax and purchase tax on which the other figures are based.

[12] According to the estimates of Dow (1964) displayed in Figure 8, the October tax increases amounted to around 0.6 percent of GDP, against the 0.9 percent of the April tax cuts; the reversal was completed by the cuts in public spending. Clarke (2004, p.257) instead writes that the autumn budget "clawed back double the amount of revenue disbursed only months previously"; the reason for the difference is not clear, but it may depend on whether the effects of the measures are measured in their first year or in a full year.

Figure 8: Budget tax changes (% of GDP), Bank rate and hire purchase restrictions, 1952-1960



Bars show the estimated effect of the tax changes announced in each budget, by type of tax (left axis, % of GDP; a negative value is a tax cut). The line shows the Bank rate (right axis, %). Sources: Dow (1964) and Thomas and Dimsdale (2017).

investment (Cairncross, 1992, pp.98, 105; Woodward, 2004, p.57). His only budget, in April 1956, left taxes broadly unchanged, but the spending cuts made the overall stance contractionary (Figure 8). It is mostly remembered for the introduction of 'premium' bonds, a savings product in which interest was replaced by a regular prize draw (Morgan, 1990, p.146).

In July 1956 the Egyptian President Nasser nationalised the Suez Canal, and at the end of October Britain and France invaded the canal zone. The operation triggered a run on the pound, which the United States, opposed to the invasion, refused to stem: Washington withheld financial support until Britain agreed to withdraw, and according to Morgan (ibid., p.152) even encouraged the pressure on sterling. Between the end of October and mid-December Britain lost $450 million of reserves (Kynaston, 2017, ch. 13), and faced with the prospect of a devaluation, the government agreed to a ceasefire and to withdraw its troops. Only after the withdrawal had been agreed could Britain obtain help from the IMF: a loan of $561 million, supplemented by a standby credit that brought the total to $1.3 billion (Cairncross, 1992, p.131). The effects on the domestic economy were limited (ibid., p.91), but the lessons were not lost: first, the defence of sterling structurally depended on the support of the United States; second, and partly related, the UK could no longer behave as an imperial 'great power'.

Eden took the blame for the Suez fiasco and resigned in January 1957. Macmillan was promoted to Prime Minister and appointed Peter Thorneycroft as his Chancellor.

Thorneycroft and the 1957 sterling crisis Thorneycroft's first budget, in April 1957, made some modest tax cuts (Morgan, 1990, p.171), but in the summer a new sterling crisis broke out. This was triggered not by the current account, which was in surplus, but by capital flight. Uncertainty over exchange rates in Europe was running high: in August France made what amounted to a devaluation of the franc, while the persistent surpluses of West Germany fuelled expectations of a revaluation of the mark (which did not materialise until 1961). Markets suspected that the pound, seen as weak and prone to inflation, would be devalued as part of a broader realignment of parities, possibly to be announced at the IMF meeting in September, and holders of sterling rushed to switch into other currencies: in the third quarter of the year the reserves fell by over £500 million (Cairncross, 1992, pp.109-110, 130; Morgan, 1990, p.171).

Thorneycroft vs Macmillan Thorneycroft, at that point, threw all his weight in favor of a strong and durable deflationary turn. Influenced by the economist Lionel Robbins, he believed that the root cause of Britain's problems was inflation, and that inflation could only be stopped

by controlling the money supply and public spending (Woodward, 2004, p.57; Cairncross, 1992, p.109; Morgan, 1990, p.171). On 19 September 1957 he raised the Bank rate from 5 to 7 percent, the highest level since 1921, froze public investment for two years, and asked the banks to keep their lending at the level of the previous year (Morgan, 1990, p.173).[13] Thorneycroft was prepared to see unemployment rise substantially to moderate wage demands. Cairncross (1992, p.110) describes him as willing to "sacrifice employment for the sake of price stability".

The rest of the Cabinet, and above all Macmillan, were not prepared to go as far as Thorneycroft wanted. When in January 1958 the Cabinet refused to cut the next year's spending estimates by the full amount he had demanded, Thorneycroft resigned, together with his two junior Treasury ministers, Nigel Birch and Enoch Powell, over a difference of around £50 million (ibid., p.110). Macmillan dismissed the episode as a "little local difficulty" (Morgan, 1990, p.174). Later, Thorneycroft would be seen by Margaret Thatcher's followers as an early martyr of monetarism (Morgan, 1990, p.174; Dell, 1996, Ch.6).

Heathcoat-Amory: reflation and convertibility, 1958-59 The new Chancellor, Derick Heathcoat-Amory, inherited an economy entering a recession: in 1958 production fell for the first time in the decade, and unemployment rose (Cairncross, 1992, p.92). Amory was cautious, and his 1958 budget made only small tax cuts, but under pressure from Macmillan, who feared a slump more than inflation, the brakes were progressively released (ibid., pp.110-111). The Bank rate was cut in steps from 7 to 4 percent by November 1958, the ceiling on bank lending was removed in July, hire purchase restrictions were abolished in October, and public investment was increased.

In December 1958, together with the main continental European currencies, the pound became again convertible, but only for non-residents.

The April 1959 budget, the last before the general election, was the most expansionary since the war. The standard rate of income tax was cut from 42.5 percent to 38.75 percent, purchase tax was reduced, and investment allowances were restored (Clarke, 2004, p.270). According to the estimates of Dow (1964), the tax cuts amounted to around 1.7 percent of GDP (Figure 8).[14]

[13]The Bank rate increase of September 1957 also gave rise to an 'insider trading' scandal. Some City figures, including two part-time directors of the Bank of England (Lord Kindersley and W.J. Keswick), were accused of having sold government bonds on the basis of advance knowledge of the decision. A tribunal of inquiry, whose proceedings offered the public a rare glimpse into the workings of the City, exonerated all those involved in January 1958, although Kynaston, reviewing the evidence, concludes that "it is quite possible that Keswick and Kindersley got away with it." (Kynaston, 2017, ch. 13).

[14]According to Cairncross (1992, p.111), the tax cuts amounted to £360 million in a full year (around 1.5 percent of GDP), to which should be added the release of £71 million of post-war credits; Morgan (1990, p.175)

As a result, the public sector deficit jumped from 0.3 percent of GDP in 1958-59 to 2.3 percent in 1959-60 (Figure 5).

In part, the strong fiscal expansion was the result of a forecasting error. The Treasury had badly underestimated the strength of the recovery that was already under way, and expected GDP to grow by 4 percentage points less than it actually did (Woodward, 2004, p.77). Given the upcoming election, the large tax cut might also have been an electoral giveaway.

The economy boomed, growing by 4 percent in 1959 and over 6 percent in 1960 (Thomas and Dimsdale, 2017), and in October 1959 the Conservatives won their third consecutive election, with a majority of 100 seats. Macmillan's famous remark that "most of our people have never had it so good", made in 1957, captured the mood of the time (Clarke, 2004, p.255).

The Radcliffe Report In the same year, 1959, the Radcliffe Committee, appointed in 1957 to investigate the working of the monetary system after the failure of the credit squeeze of 1955, published its report. It concluded that the stock of money was not the key variable to control, that monetary policy should work mainly through interest rates and the overall liquidity of the economy, and that on its own it could do relatively little to manage demand: it had to be integrated with fiscal policy and closely coordinated between the Bank and the Treasury (Cairncross, 1992, pp.97-99; Kynaston, 2017, ch. 13). In practice, few of its recommendations were implemented, although it led to closer cooperation between the Bank of England and the Treasury, and to the Bank publishing more statistics and economic analysis, including a new *Quarterly Bulletin* from 1960 (Woodward, 2004, p.62).

Overheating and the 1960 'stop' By early 1960 the economy was overheating again, and the current account, in surplus by 1.6 percent of GDP in 1958, moved into a deficit of 0.8 percent in 1960 (Thomas and Dimsdale, 2017). The Bank rate was raised to 5 percent in January and 6 percent in June, hire purchase restrictions were reintroduced, and in April the new instrument of special deposits was used for the first time (Cairncross, 1992, p.138).

Amory wanted to accompany these measures with a tax increase in the April budget, but Macmillan, who had just won an election on the promise of prosperity, opposed it, calling a deflationary budget "either very foolish or very dishonest". Macmillan had his way again and the 1960 budget was broadly neutral (ibid., p.138). In July 1960 Amory, who had long wished

gives a figure of £370 million. The small difference with Dow's estimate is likely due to differences in the coverage of the measures included.

to leave politics, was replaced by Selwyn Lloyd.

4.3 1960-64: Lloyd's management and Maudling's 'Dash for Growth'

Selwyn Lloyd and the 1961 crisis Selwyn Lloyd inherited the aftermath of Heathcoat-Amory's expansion, in the form of a new currency crisis. Although output had stopped growing in the course of 1960, the labour market was still tight, and the balance of payments in deficit. On top of this, in March 1961, the revaluation of the German mark triggered a wave of currency speculation, and in the first half of the year the reserves fell by around $500 million, notwithstanding the support of other European central banks (Cairncross, 1992, pp.139-140).

Lloyd's first budget, in April 1961, was broadly neutral, with a net increase in revenues of £55 million.[15] Income tax on higher earned incomes was cut, by raising the threshold above which surtax was paid, while taxes on profits were raised (from 12.5 to 15 percent) together with some indirect taxes (Tait, 1961, pp.284-285).

More importantly, the budget gave the Chancellor two new powers, known as 'regulators', to change taxes between budgets. The first allowed him to raise or lower all the main customs and excise duties and purchase tax by up to 10 percent at any time, which could change revenues by around £200 million a year; the second, which was never used, would have allowed him to impose a payroll tax on employers (Cairncross, 1992, p.140). The first regulator, however, would be used almost immediately.

With the pressure on sterling continuing, on 25 July 1961 Lloyd announced a package of emergency measures. The Bank rate was raised from 5 to 7 percent, the banks were called upon for further special deposits, indirect taxes were raised by the full 10 percent allowed by the regulator, and the government committed to restraining the growth of public spending, reducing the claims of the public sector on the economy by around £300 million in 1962-63 compared with existing plans.[16] He also asked for a 'pause' in wage increases, imposing it on the public sector (see Section 7), and obtained a credit of $2 billion from the IMF (ibid., p.141). *The Economist* described the package as "the biggest immediate cut in demand that has been

[15] This is the full-year effect of the budget measures, based on the Chancellor's own estimates. In the first year, 1961-62, the net increase in revenues was larger, £68 million, because the cut in surtax and the increase in profits tax only took effect from 1962-63 (House of Commons, 1961; Tait, 1961, p.285). Either way, the budget was "more or less neutral" (Cairncross, 1992, p.140).

[16] House of Commons debate, 25 July 1961, retrieved from House of Commons Hansard at https://api.parliament.uk/historic-hansard/commons/1961/jul/25/mr-selwyn-lloyds-statement. Lloyd himself stressed that, with the exception of some loans to industry, "these are not cuts on this year's figures; they are part of the process of containing future expenditure".

deliberately imposed by a British government on any single afternoon in peacetime history" (Morgan, 1990, p.210).

The July 1961 measures (and the IMF loan) stopped the run on sterling, but the economy slowed down more than expected. The Treasury expected a quick recovery driven by exports, and overestimated GDP growth in 1962 by 3 percentage points (Woodward, 2004, p.77). As a result, the April 1962 budget was again broadly neutral, although the Bank rate was gradually cut back to 4.5 percent and the special deposits were released (Cairncross, 1992, pp.145-147). The expected recovery did not materialise: manufacturing investment fell by around 20 percent in 1962, and unemployment kept rising (Cairncross, 1996, p.273). The government's popularity collapsed, and in July 1962 Macmillan removed Lloyd as part of a reshuffle in which seven Cabinet ministers were sacked in a single day, the so-called 'night of the long knives' (Morgan, 1990, p.223).

Maudling's 'dash for growth' The new Chancellor, Reginald Maudling, was, like Macmillan, an expansionist. In the autumn of 1962 he released £42 million of post-war credits, increased public investment, made investment allowances more generous, and cut the purchase tax on cars from 45 to 25 percent; in January 1963 the Bank rate was cut to 4 percent (Cairncross, 1992, p.147). In the exceptionally severe winter of 1962-63 registered unemployment reached 3.9 percent, the highest level since the war.

The main stimulus came with the April 1963 budget, which raised income tax allowances, abolished the tax on the notional income from owner-occupied houses ('Schedule A'), and introduced generous tax incentives for investment, especially in the depressed regions, together with an increase in public investment. The tax cuts reduced revenues by about £270 million in 1963-64, but their cost was set to rise to £460 million in a full year, and to about £600 million (around 1.9 percent of 1963 GDP) once all measures were fully in force (Cairncross, 1992, p.147; Sousa, 2024, p.6; Thomas and Dimsdale, 2017).[17]

Maudling's bet was that a sustained expansion (a 'dash for growth', as it was called) would encourage investment and raise productivity, breaking the cycle of stop-go and putting the

[17]In his budget speech, Maudling put the cost of the tax changes at £269 million in 1963-64 (House of Commons debate, 3 April 1963, retrieved from House of Commons Hansard at https://api.parliament.uk/historic-hansard/commons/1963/apr/03/summary). The cost was set to keep rising after the first full year mainly because of the new investment allowances, whose cost Maudling expected to grow from £11 million in 1963-64 to about £130 million by 1966-67 (https://api.parliament.uk/historic-hansard/commons/1963/apr/03/capital-allowances). Cloyne (2012, p.41) reaches a similar estimate of the total cost of the budget's tax cuts, "nearly £600 million".

economy on a higher growth path (Woodward, 2004, pp.58-59; Cairncross, 1992, pp.148-149). He knew that imports would rise faster than exports in the early stages of the expansion, but believed that the resulting external deficit would be temporary and could be financed by drawing on the reserves and borrowing from the IMF. In his budget speech, he declared: "I absolutely reject the proposition that a vigorous economy and a strong position for sterling are incompatible".[18] Privately, Maudling was prepared to let the pound float if the reserves ran out, and he and Macmillan agreed that floating would be urgently considered in the event of a serious balance of payments crisis (Cairncross, 1992, p.149; Woodward, 2004, p.67).

1964: boom, deficit and the election The economy responded strongly to Maudling's fiscal and monetary expansion. GDP grew by almost 6 percent between the end of 1962 and the beginning of 1964, and unemployment fell rapidly; but imports soared, and from the end of 1963 the balance of payments deteriorated sharply (Cairncross, 1992, pp.147-149).

To attempt to mitigate the rising balance of payments deficit, the Bank rate was raised to 5 percent in February 1964 (Naef, 2022, p.131), and the April 1964 budget raised taxes on drink and tobacco by £100 million, half of what the National Institute of Economic and Social Research recommended (Cairncross, 1992, p.149). After that, nothing was done. Statistics that turned out to be misleading suggested that production had stopped growing, the general election was approaching, and the government postponed it until the last possible date, October 1964, hoping to benefit from the boom (ibid., pp.148-150).

In this context, the Bank of England adjusted the published reserve figures to conceal the true extent of the reserve losses, which were being covered by support from other central banks, fearing that revealing the true figures would provoke a run on sterling (Kynaston, 2017, ch. 14).

The 'massaging' of the reserves data was aimed at maintaining financial stability rather than at influencing the election, but it continued into the election campaign, and it had the side-effect of helping the Conservatives by hiding the scale of the crisis that their policies had largely created. Kynaston reports that, as early as February 1964, the Labour leader Harold Wilson had been "only with difficulty persuaded" not to accuse the Bank publicly of 'cooking the books', that is, of deliberately hiding the true state of the country's external position (ibid., ch. 14).

The issue came to a head in the days before the election, held on 15 October. On 30

[18] House of Commons debate, 3 April 1963, retrieved from House of Commons Hansard at https://api.parliament.uk/historic-hansard/commons/1963/apr/03/external-position.

September, Wilson declared that the new reserve figures, due to be published on 2 October, would "dominate this Election". The Governor of the Bank of England, Lord Cromer, then told Downing Street that he was worried about "the adjustment of the September figures to take account of Central Bank support becoming a factor in the political situation", and that he might be "accused of conniving at a political manoeuvre". He accepted that publishing "the true figure" was out of the question, but proposed, as a compromise, to disclose it privately to Wilson. Maudling told him that he must not even think of doing so, and Cromer complied. The published reserve figures showed what Kynaston (2017, ch. 14) calls a "politically containable" fall of just £16 million.[19]

The Conservatives lost the election narrowly, leaving the new Labour government with a balance of payments deficit of around £800 million, or 2.3 percent of GDP.[20] In the judgement of Cairncross (1996, p.273), it was "entirely wrong to let the months go by in the summer and autumn of 1964 without any response to the growing deficit".

4.4 1964-67: Wilson's Labour government and the countdown to devaluation

The DEA experiment and the decision not to devalue Labour came to power with ambitious plans to raise the rate of growth through economic planning, incomes policy and industrial policy (discussed in Sections 6 and 7). Instead, it spent most of its first three years in a day-to-day struggle to defend the pound (Cairncross, 1992, p.151).

Economic policy was in the hands of three men: the Prime Minister, Harold Wilson; the Chancellor, James Callaghan; and George Brown, head of the new Department of Economic Affairs (DEA).

The newly created DEA was responsible for preparing a national plan for faster growth, inspired, like the National Economic Development Council (NEDC) set up by the Conservatives in 1962, by French indicative planning (Cairncross, 1992, p.151; Woodward, 2004, pp.71-72; Morgan, 1990, p.244). It would also take responsibility over incomes policy and regional policy (Cairncross, 1992, p.154, 1996, p.262). Industrial modernisation was entrusted to another new department, the Ministry of Technology (Cairncross, 1992, p.151). The DEA was meant to be

[19] This account of the adjustment of the reserve figures and the conversations around it draws on Kynaston (2017, ch. 14). Cromer's words are quoted from the Prime Minister's office's record of his telephone call, as reported by Kynaston.

[20] This figure, widely quoted at the time, refers to the deficit on current and long-term capital account combined, which was the measure of the balance of payments favoured by the Treasury at the time (Cairncross, 1992, p.149). The current account deficit alone was smaller: around £350-400 million, or 1-1.3 percent of GDP (Thomas and Dimsdale, 2017; Cairncross, 1992, p.149).

a counterweight to the Treasury, taking away from it some of its power over economic policy. This would bring Britain closer to other European countries, such as West Germany and Italy, where responsibility for economic policy was divided between a finance ministry and a separate economic ministry.

Upon taking office, faced with a severe currency crisis, Wilson, Callaghan and Brown made the consequential decision not to devalue. Labour did not want to become known as the party of devaluation, after 1949, and did not want to inflict again on Britain the decrease in living standards that devaluation, at least in the short-run, brings. A devaluation, according to Ministers, would also have worsened relations with the USA, because it would have weakened confidence in the dollar-based international monetary system and because US authorities feared that the US dollar would be next in line for speculators. Labour decided to bet that the deficit could be corrected by other means (Cairncross, 1992, pp.151-152; Kynaston, 2017, ch. 14).

But the government did not want to deflate either. Contractionary policy aimed at bringing down the growth rate of wages and prices would have been a way to improve the trade balance, but it would imply cutting social spending and giving up at least part of Labour's electoral program. The new Labour government tried instead to act on the balance of payments directly, with a 15 percent surcharge on imports of manufactures, rebates for exporters and, from April 1965, tighter controls on capital outflows (Cairncross, 1992, pp.152-153; Morgan, 1990, p.243; Tait, 1965, p.512).

The strategy, and hope, was to buy time with these short-term measures, and in the longer run solve the balance of payments problem by increasing the competitiveness of the British economy through incomes policy, industrial policy and planning.

The November 1964 crisis: Wilson versus Cromer Callaghan's emergency budget of 11 November 1964 was broadly neutral in its effect on demand. It raised pensions and abolished prescription charges, financing them with an increase in petrol duty and higher national insurance contributions and income tax. It also announced a corporation tax and a capital gains tax, but left their rates to be specified in the subsequent Spring Budget.

Financial markets reacted negatively. Holders of sterling, currency traders and the City had expected a decisive tightening to support sterling, and did not see it in Callaghan's first budget. The drain on the reserves accelerated (Cairncross, 1992, p.153).

A standoff between the Labour government and the Bank of England ensued. Governor

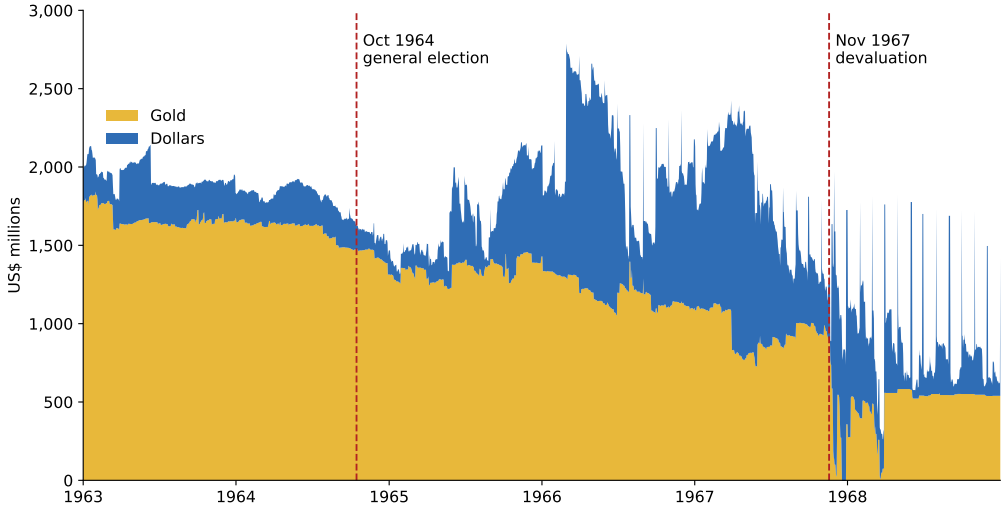
Cromer urged the government to implement a credit squeeze, substantial cuts in public spending and other restrictive measures to restore market confidence and stop the run on the reserves. The government did agree to an increase in Bank rate from 5 to 7 percent, announced on 23 November, but refused to commit to specific cuts in public spending and to postpone the more 'doctrinal' parts of its legislative programme, as Cromer demanded (Kynaston, 2017, ch. 14). The government wanted the Bank to instead obtain credit from other central banks to stop the run on the reserves (Cairncross, 1992, p.153). At a tense late-night meeting in Downing Street, Wilson replied to Cromer's demands that, if central bankers made it impossible for a democratically elected government to carry out its programme, he would call a new election, which he would fight on the issue of whether foreign bankers or the British electorate should decide the government's policies. He expected to win "overwhelmingly", and would then be free to do anything he liked, "devaluation included" (Kynaston, 2017, ch. 14).

In that instance, Cromer backed down. The following evening the Bank announced that it had raised $3 billion of credit from foreign central banks, which removed, for the time being, the pressure to deflate (Cairncross, 1992, p.153; Kynaston, 2017, ch. 14). The two men clashed again in August 1965 and in March 1966, when Wilson refused Cromer's request to raise Bank rate three weeks before a general election (Kynaston, 2017, ch. 14).

Muddling through, 1965-66 In the following months, policy was tightened in small steps, in a partial and half-hearted move towards deflation. The April 1965 budget raised the taxes on drink, tobacco and motor vehicles by a little over £200 million in a full year, or about 0.5 percent of GDP, and monetary policy was tightened through a call for special deposits and a ceiling on bank lending (Cairncross, 1992, p.156; Thomas and Dimsdale, 2017).[21] A further run on sterling in July 1965 was met with cuts in public investment and new restrictions on building and hire purchase (Cairncross, 1992, p.157). The government deficit, as measured by PSNB, fell from 2.7 percent of GDP in 1963-64 to 1.5 percent in 1965-66 (Office for Budget Responsibility, 2026), and from early 1965 the current account was roughly in balance. But on the financial side the pressure on sterling never really abated: holders of sterling and investors were not convinced that the government could avoid an eventual devaluation, and the reserves could only be kept up by borrowing abroad (Figure 9) (Cairncross, 1992, p.156). In March 1966 Wilson called a new election and won a majority of 98 seats (Morgan, 1990, p.253). The

[21] Including the increase in the standard rate of income tax announced in November 1964, the tax changes introduced in April 1965 were expected to raise revenues by £286 million in 1965-66 (Tait, 1965, p.511).

Figure 9: Gold and dollar reserves of the Exchange Equalisation Account, 1963-1968 (daily data)



Note: The reserves were replenished with funds borrowed from foreign central banks and from the IMF, which helps explain why they rose in 1965-66 even though the pressure on sterling continued.
Source: Exchange Equalisation Account ledgers, Bank of England Archive, as compiled by Naef (2022).

post-election budget introduced a new tax on employment in services, the Selective Employment Tax (SET), and aimed to raise an additional £400 million in revenue (Cairncross, 1992, p.158).

Although the SET raised significant revenue, thus contributing to the deflationary effort, its architects conceived it primarily as a structural industrial policy measure to raise long-run productivity growth. Designed by Nicholas Kaldor, a prominent economist and special adviser to the Labour government, the SET was a flat-rate tax on employment that was refunded to manufacturing employers (initially with a premium), so that its burden fell on the service sector. This was meant to shift labour from services towards manufacturing. In Kaldor's view, manufacturing is characterised by faster productivity growth than services, and by increasing returns to scale. By reorienting the economy towards manufacturing, the SET would thus boost productivity growth and international competitiveness (Kaldor, 1966).

July 1966: shift to austerity In July 1966, following a new run on sterling, devaluation was discussed in Cabinet for the first time, but rejected, and a stronger deflationary package announced. This was designed to cut domestic demand by £500 million, or 1.3 percent of GDP. The indirect taxes regulator was used in full, public investment was cut, hire purchase was further restricted, the allowance for foreign travel was limited to £50 a year, and wages and

prices were frozen for six months (Cairncross, 1992, p.160; Morgan, 1990, p.264; Thomas and Dimsdale, 2017). This was a serious shift towards deflationary policy.

The July 1966 package had the intended deflationary effects and temporarily improved the balance of payments, but at the cost of killing Labour's plans for faster growth. Consumer spending stagnated for a year, the balance of payments moved into surplus, much of the debt to foreign central banks was repaid, and registered unemployment rose above 2 percent (Cairncross, 1992, p.161). This was the intended effect of the deflationary measures, but it also meant abandoning any ambitions to increase the growth rate of the economy through planning and modernization.

1967: Countdown to devaluation As the balance of payments improved and unemployment rose, policy was eased again: Bank rate was cut from 7 to 5.5 percent between January and May 1967, and public spending grew rapidly, pushing the PSNB up to 3.9 percent of GDP in 1967-68 (Cairncross, 1992, pp.162-163; Office for Budget Responsibility, 2026).

Then a series of external shocks triggered a new run on sterling. These included Britain's application to join the European Economic Community, the Six-Day War and the closure of the Suez Canal in June, a slowdown in world trade, and dock strikes in the autumn.[22] The trade balance recorded a large deficit over the year (Figure 4) and the reserves fell steeply, especially in the third quarter (Figure 9).

On 16 November the Cabinet finally decided to devalue. That same day an evasive answer by Callaghan in the House of Commons made the decision obvious to the markets, and the next day the Bank spent around $1.45 billion defending the parity for the last time (Kynaston, 2017, ch. 14). On Saturday 18 November 1967 the pound was devalued by 14.3 percent, from $2.80 to $2.40 (Morgan, 1990, p.274).

Devaluation was accompanied by a rise in Bank rate to 8 percent and cuts in public spending.

Shortly afterwards Callaghan resigned, and was replaced as Chancellor by Roy Jenkins (Cairncross, 1992, p.165). Wilson addressed the nation on TV and radio, in what went down

[22]Regarding the application to join the ECC, it was well known that membership would cost the balance of payments a lot. Britain would pay higher food prices under the Common Agricultural Policy, contribute to the Community budget, and face freer capital movements. Many observers concluded that Britain could not afford to join at $2.80, so "there was a natural suspicion that an application might at some point be followed by a devaluation of the pound" (Cairncross, p.163). The Six-Day War and the closure of the Suez Canal at the same time made energy imports more expensive, and exports to Asia and East Africa slower and dearer. The slowdown in world trade was of course a drag on exports. In this context, strikes in London and Liverpool held up exports at the docks, and with them the foreign currency those exports would have earned. As a result of these negative shocks, the trade deficit reached an all-time high.(Cairncross, 1992, pp.163-164).

in history as the 'pound in your pocket' speech. He presented devaluation as an opportunity to "break out from the straitjacket" of stop-and-go cycles, and attempted to reassure Britons by explaining that devaluation "doesn't mean, of course, that the pound here in Britain, in your pocket or purse or in your bank, has been devalued.". This last statement was widely mocked, and came to symbolise the failure of the government's commitment to maintaining the parity (Morgan, 1990, p.262; Kynaston, 2017, ch. 14).

In retrospect, devaluation was a necessary adjustment, made too late. Three years, Labour's ambition to experiment with growth-enhancing structural policies, and substantial amounts of foreign exchange and gold reserves, had been sacrificed to the defence of a unsustainable parity. Not devaluing earlier was a fundamental mistake of the Wilson government. The Bank of England, which kept recommending against devaluation until the last months, had also failed to give the government the right advice.

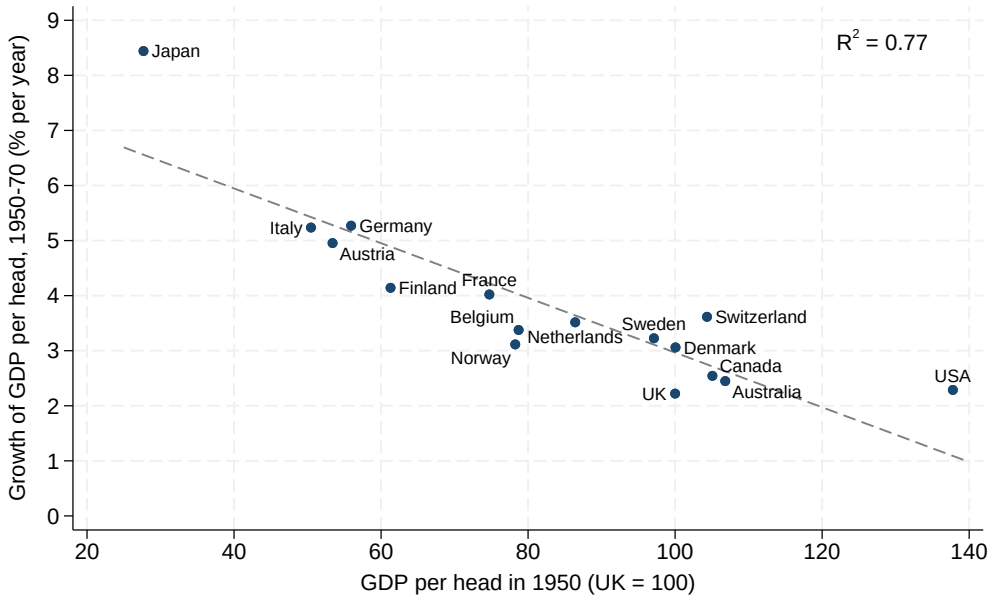
5 Relative decline and sterling crises in retrospect

A long-run economic-historical perspective suggests that both Britain's slower growth relative to other Western economies and its recurring sterling crises were, in important part, the consequences of a long-run process of economic convergence–or 'catch-up growth'–among the Western economies (plus Japan).

Convergence within the West (plus Japan) Having been the richest country in the world for much of the nineteenth century, and having suffered less wartime destruction than the countries of continental Europe or Japan, Britain emerged from the Second World War with a large lead over them. In 1946, Britain's GDP was larger than that of France and Germany combined (Bolt and van Zanden, 2020). In 1948, British exports still accounted for over 29 percent of world trade in manufactures, vastly out of proportion with Britain's share of global (or Western European) population (Cairncross, 1992, p.120). In 1950, output per hour worked in Britain was 85 percent higher than in West Germany and about 50 percent higher than in France (Bergeaud, Cette, and Lecat, 2016), as shown in Figure 11.

There was no reason for such vast differentials among otherwise similar countries to last. In the post-war period, Western economies (and Japan) shared similar economic and political structures and institutions, were increasingly economically integrated and part of the same geopolitical block, and had little obstacle to imitating each other's technologies. Within this

Figure 10: Growth of GDP per head (1950-70) and level of GDP per head in 1950 (UK = 100), sixteen industrialised countries



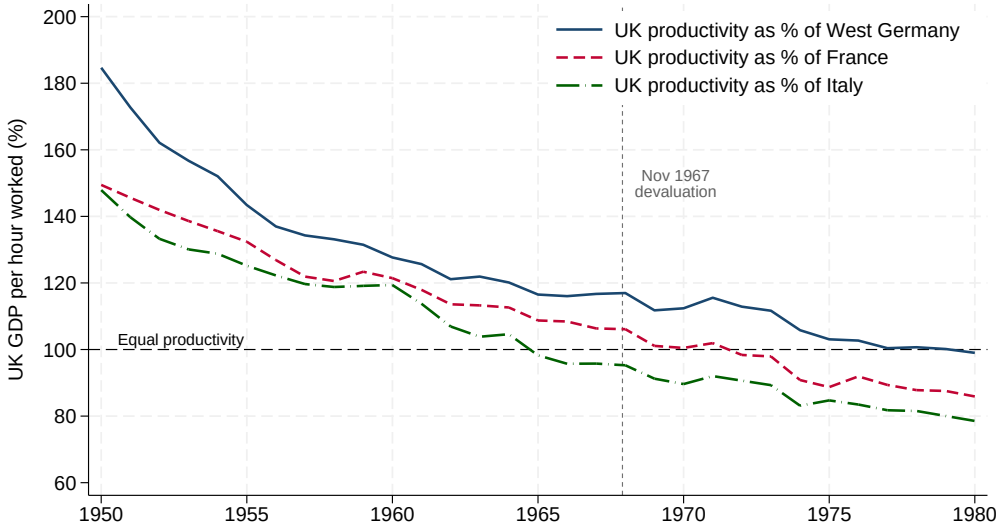
Note: The vertical axis shows the average annual growth rate of real GDP per head in 1950-70; the horizontal axis shows real GDP per head in 1950, with the UK = 100. The dashed line is a linear fit.
Source: Maddison Project Database, version 2020 (Bolt and van Zanden, 2020).

group, all the conditions were in place for *convergence*: countries further behind the technological frontier could grow faster, by rebuilding their capital stock and importing the most advanced production methods, largely developed in the United States. Some of these countries, notably Italy and Japan, were also technologically well behind Britain, so could imitate its technologies too (Woodward, 2004, p.80).

Convergence did indeed occur within this group. Figure 10 shows that in 1950-70 the growth of GDP per head across industrialised countries was strongly and negatively related to its initial level: the countries that started furthest behind, such as Japan, Germany and Italy, grew fastest, while those that started ahead, such as the US, Canada, Australia and the UK, grew most slowly (Bolt and van Zanden, 2020; Woodward, 2004, p.80). By 1967, most of the productivity gap with West Germany and France had been absorbed. Britain's share of world trade in manufactures, meanwhile, fell to 25 percent in 1950 and 16 percent in 1960 (Cairncross, 1992, p.120).

Based on this evidence, convergence is likely the main reason for the 'growth gap', but it does not need to be the only one. Figure 10 suggests that 'growth convergence' explains most, but perhaps not all, of British growth underperformance in 1950-1970. A linear relation between

Figure 11: UK GDP per hour worked as a percentage of the level in West Germany, France and Italy, 1950-1980



Note: A value above 100 means that output per hour worked was higher in the UK.
Source: Long-Term Productivity Database, version 2.7 (Bergeaud, Cette, and Lecat, 2016).

initial (1950) GDP per head and subsequent (1950-70) annual growth predicts an approximately 3 per cent growth per year for the UK, while the realised value was around 2.2. percent a year. This suggests that Britain might have underperformed even after accounting for differences in initial income levels and the dynamics of catch up. Possible explanations for this 'additional' underperformance might include those listed by Woodward (2004, pp.80-81): education levels, management quality, the capital market, and industrial relations. An overvalued exchange rate should certainly be added to the list, and in a prominent position. Mistakes in macroeconomic policy might have contributed too. There is, however, an important caveat. The existence and size of this 'additional' shortfall depends on the estimates of income levels in 1950, which are uncertain and differ considerably across data sources. Some sources and data vintages suggest that the UK growth rate was virtually in line with the prediction of a convergence plot. Moreover, the precise position of the UK relative to the convergence regression line also depends on the assumption of a *linear* relation, which is somewhat arbitrary.

The initial vast lead enjoyed by the UK and the post-war growth convergence within advanced economies, however, are clear, and robust to using different data and sources. Convergence is very likely to explain a large part of Britain's growth gap. In light of this evidence, explanations for the growth gap that attribute a *primary* role to factors like stop-go macroeco-

nomic policy, or to an inflationary bias of policy, seem off the mark.

Growth convergence and sterling crises Convergence also helps explain the sterling crises. When productivity grows faster abroad than at home, a country can preserve its international competitiveness only if its costs (wages and prices) fall relative to those of its competitors, or if its exchange rate depreciates. Under the Bretton Woods system, however, exchange rates were fixed and changes of parity were rare. West Germany revalued the mark only in 1961, and again in 1969, while Britain defended the parity of $2.80 until 1967. Since British costs did not, and probably could not, rise more slowly than its competitors' (if anything, Britain was prone to inflation), the international competitiveness of British industry gradually eroded, generating a persistent trade deficit, and the balance of payments came under growing strain (Cairncross, 1992, p.164).

Put differently, the exchange rates fixed in 1949 were appropriate for a world in which British productivity was around 50 percent higher than in France and Italy, and 85 percent higher than in West Germany (Figure 11). By the mid-1960s France and Italy had largely caught up, and West Germany was closing the gap. Unless British wages and prices could rise *much* more slowly than in those countries, this new world required a lower value of the pound.

While this was the core reason for downward pressure on the exchange rate, other factors made the sterling problem worse. The large sterling balances held abroad made the reserves vulnerable to sudden withdrawals. Persistent outflows of long-term capital and heavy government spending abroad, especially on military bases, did not help either.

Under a fixed exchange rate, these pressures would necessarily generate recurring currency crises. From this perspective, a devaluation was practically inevitable at some point in the 1960s, and the attempt to hold the parity for as long as possible, at the cost of lower growth and repeated stop-go cycles, was arguably the main policy mistake of the period.

6 The experiments with planning

In the early 1960s, British policy makers from both parties turned to 'planning' as the way to achieve faster economic growth and make the British economy more competitive. Two main concerns lay behind it: almost all other European countries were growing faster than Britain, and might soon overtake it in living standards; and dissatisfaction with the stop-go pattern of macroeconomic management, which was widely thought to be a drag on growth. The experience

of France, where indicative planning had accompanied rapid growth, seemed to show that a plan setting long-term targets, agreed with business and the unions, could raise investment and growth, replace the recurrent 'stops' with steady expansion, and help to bring wage bargaining within a framework of sustainable growth (Cairncross, 1992, p.142; Woodward, 2004, p.71).

The NEDC Following a suggestion from the Federation of British Industries, the Conservative Chancellor Selwyn Lloyd set up the National Economic Development Council (NEDC, or 'Neddy'), a tripartite body that brought together ministers, employers' associations and the TUC, plus a few independent members. The NEDC first met in March 1962, served by a staff of officials working outside the ordinary government machine, the National Economic Development Office (Cairncross, 1992, pp.142-143; Morgan, 1990, p.211; Woodward, 2004, pp.71-72). At one of its first meetings, the NEDC adopted a target of 4 percent annual growth for 1961-66. But the NEDC had little actual powers: it could only persuade, and the employers' and union representatives could do no more than advise their members to take its views into account (Woodward, 2004, p.72; Morgan, 1990, p.211). Its main influence might have been on the government itself: by setting a high growth target, it encouraged macroeconomic policy to over-stimulate the economy in some occasions – most clearly in Maudling's dash for growth – while its impact on private industry was probably small (Woodward, 2004, p.72).

The National Plan Labour had long been a proponent of economic planning, and when back in government in 1964, it went further with the creation of the DEA and the National Plan published in September 1965. The Plan, prepared through extensive consultation with industry and the unions, set a target of a 25 percent increase in output between 1964 and 1970, which required growth of 3.8 percent a year, compared with an average of 2.9 percent in 1950-64 (Cairncross, 1992, p.155; Morgan, 1990, p.244). The Plan was arguably plagued by a fundamental contradiction: since the government had ruled out devaluation, it could not assume one; but without a devaluation, it was hard to see how output could grow so fast without a balance of payments crisis (Cairncross, 1992, p.155, 1996, pp.267-268). The crisis duly came, and the deflationary measures of July 1966 killed the Plan, which was quietly abandoned; George Brown moved to the Foreign Office, and the DEA lost most of its influence (Cairncross, 1992, p.161; Morgan, 1990, p.245). Actual growth between 1964 and 1970 was 2.6 percent a year (Cairncross, 1992, p.155), which is a more than respectable rate of growth in historical perspective, but well short of the Plan's target.

7 The attempts at income policy

How could a full-employment economy be prevented from generating a wage-price spiral, which would push up costs and undermine the balance of payments, without resorting to periodic 'stops'? The answer of incomes policy was to act directly on the setting of wages (and prices), by persuading or compelling unions and employers to keep pay increases in line with the growth of productivity. There was a precedent: in 1948-50, the unions had given Labour Chancellor Cripps a formal commitment to wage restraint, in the form of a temporary (but relatively long) wage freeze, which had helped the Labour government contain inflationary pressures.

The Conservatives: the pay pause and the NIC In the 1950s, Conservative governments relied mainly on exhortation, with little effect. In part, they paid for the fact that unions were less willing to agree wage restraint with a Conservative government than with a Labour one, given their close links with the Labour party and distrust of the Tories. In 1957 Thorneycroft set up a Council on Prices, Productivity and Incomes of three independent members, whose reports had no visible impact on wage settlements (Woodward, 2004, p.68).

Incomes policy became more ambitious in the 1960s. The July 1961 crisis measures included a 'pay pause': a freeze on pay in the public sector, which the private sector was invited to follow. It met resistance from the start, even in the public sector, and when it ended in March 1962 the results were mixed (Cairncross, 1992, p.144; Woodward, 2004, p.68). It was followed by the White Paper *Incomes Policy: The Next Step* (February 1962), which declared it "essential that increases in personal income of all kinds should be brought into a more realistic relationship with increases in national production", and set a norm of 2.5 percent for annual wage increases, which could be exceeded only in exceptional cases (Tait, 1962, p.306; Woodward, 2004, p.68). In July 1962 the government announced the creation of a National Incomes Commission (NIC, or 'Nicky'), which would provide its assessment on the wage settlements referred to it. The NIC, however, had no powers of compulsion and could only examine the cases referred to it, mostly after the settlement had been agreed. Moreover, it was boycotted by the unions, who opposed outside interference in collective bargaining. In two years it examined only four cases, and Labour wound it up in 1964. (Cairncross, 1992, p.145; Woodward, 2004, pp.68-69).

Overall, during the 13 years of Conservative rule, incomes policies may have helped to stall wage growth during the crisis of 1961-62, but that is the best that can be said of it. It was arguably defeated by the weakness and hostility of the government's 'social partners'.

The divisions of the British trade unions and employers, which incomes policy was meant to overcome, also prevented it from working (O'Hara, 2004a, pp.44-45).

Labour: from voluntary agreement to statutory freeze A 'planned growth of incomes', agreed voluntarily with unions and employers, was central to Labour's strategy for faster growth without inflation (O'Hara, 2004b, p.59). In December 1964 George Brown persuaded the TUC and the employers' organisations to sign a Joint Statement of Intent on productivity, prices and incomes; in 1965 a National Board for Prices and Incomes (NBPI), chaired by a former Conservative minister, Aubrey Jones, was set up to examine price and wage increases, and the TUC accepted a norm of 3-3.5 percent for wage increases (Cairncross, 1992, p.154; Morgan, 1990, p.244). Yet in the year to October 1965 hourly wage rates rose by 7.3 percent and earnings by 10.1 percent (Cairncross, 1992, p.154). Voluntarism was finally abandoned in July 1966, when wages and prices were frozen for six months, followed by six months of 'severe restraint', and the government took statutory powers to enforce the policy (ibid., pp.161-162). The freeze almost stopped the rise in wages and prices in the second half of 1966, but as postponed increases took effect wages rose rapidly again in the second half of 1967 (ibid., p.162).

The impact of incomes policy Overall, during this period, incomes policy did help on some occasions, slowing wage growth and cooling down inflationary pressures during crises. Other things equal, this probably helped governments to navigate the recurring balance of payments emergencies of this period. However, periods of restraint were usually followed by catch-up wage increases, so incomes policy seems unlikely to have yielded any significant and durable increase in the competitiveness of the British economy.

These mixed results contrast with the experience of countries such as the Netherlands, Sweden and Norway, where forms of incomes policy were implemented more consistently and successfully for long periods, and are widely seen as having contributed to combining full employment with moderate inflation and rapid growth (Braun, 1975, pp.5, 22–24). In these countries, unlike in Britain, trade unions and employers' organisations were strong and centralised at the national level, and were willing and able to make (and enforce) commitments on behalf of their members. In the UK, by contrast, the TUC was a loose confederation of many independent unions, often organised along craft lines, which negotiated wages separately and increasingly at the level of the individual firm or plant. The TUC had little power to impose wage restraint on its affiliates, and the employers' organisations were similarly fragmented and unable to bind

their members (Braun, 1975, pp.24-25; O'Hara, 2004a, p.45, 2004b, p.60; Cairncross, 1992, p.158; Morgan, 1990, p.211).

8 Conclusions

The years 1952-67 present an apparent paradox. By historical standards they were a period of exceptional prosperity: output and productivity grew faster than in any earlier period since the mid-nineteenth century, unemployment never rose above 3.4 percent, inflation was moderate, real GDP did not fall in any single year, and living standards rose visibly (Section 2). Yet contemporaries experienced them as years of recurrent crises and relative decline: sterling came under attack again and again, Britain grew more slowly than its European neighbours, and the period ended with a devaluation that was widely perceived as a national humiliation (although, in retrospect, it can be seen as a necessary adjustment to long-run trends).

In these years, Keynesian demand management became the routine business of government. Both parties accepted the commitment to full employment, and governments adjusted taxes, and to a lesser extent interest rates and credit controls, to keep the economy close to it. The results, in the UK, were mixed. Fine-tuning was hampered by poor statistics and rudimentary forecasts, and at times by electoral calculations. There is a long-standing debate on whether it dampened or amplified the fluctuations of the economy. But the fluctuations were small by international standards, and policy probably helped keep unemployment at historically low levels, although perhaps at a higher pressure of demand than was compatible with stable inflation and a sustainable balance of payments (Section 2).

Most of the times, what brought expansions to an end was not domestic inflation but the balance of payments. With a fixed exchange rate, reserves that were small relative to the sterling balances held abroad, persistent outflows of long-term capital, and a trade balance that deteriorated sharply whenever the economy accelerated, every boom risked turning into a run on the pound, forcing governments to apply the brakes. This was the root of stop-go. Defending the parity of $2.80, and sterling's role as an international currency, was a political choice as much as an economic necessity, and for most of the period governments were prepared to sacrifice growth to it. By the mid-1960s, after years in which British industry had lost competitiveness, devaluation was probably inevitable, and delaying it made the eventual adjustment more costly, Yet a one-off adjustment could not durably accommodate a long-term trend, and less than five

years later, in June 1972, the pound was allowed to float (Cairncross, 1992, p.164).

Behind the consistent downward pressure on the fixed exchange rate, there was a structural growth gap with other Western economies. Some contemporaries blamed Britain's slower growth on stop-go, but this seems at best a minor factor. A large part of the gap reflected the greater opportunities for 'catch-up' growth in countries such as Germany, Italy and Japan, which started from lower levels of income and productivity, had more war-time destruction to make good, and could grow fast by imitating the most advanced technologies. But Britain's relative decline perhaps went beyond what these structural trends dictated. If true, there are many candidate explanations: the overvalued exchange rate, the conflictual industrial relations (which for example hampered the effectiveness of incomes policy) and the mistakes in macroeconomic management described above are among the most obvious ones.

The experiments of the 1960s were attempts to tackle these problems. Planning was meant to raise the growth rate and break the stop-go cycle; incomes policy to reconcile full employment with stable costs and a sound balance of payments. Both largely failed. The National Plan could not be reconciled with the defence of the parity, and was abandoned with the deflation of July 1966; incomes policy could slow wage growth during crises, but not durably, since Britain lacked the strong, centralised organisations of employers and workers that made it work in countries such as the Netherlands and Sweden (Sections 6 and 7).

Still, it was an age of ambition and policy experimentation. It is easy, in hindsight, to list the mistakes of these years: pre-election booms, the long refusal to devalue, the failures of planning and incomes policy. But never before or since have British governments of both parties been so ambitious in trying to steer the economy: to combine full employment, rising living standards, stability in the balance of payments, and faster growth. That they achieved the first two, and not the last two, says as much about the constraints they faced, above all a fixed exchange rate, the dynamics of catch up growth, and an international role for sterling that Britain could no longer afford, as about their mistakes.

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